

"(Un)Reasonable" fees by which metric?

Cite as: Martin Paul Eve, "'(Un)Reasonable' fees by which metric?", *eve.gd: Martin Paul Eve*, March 15, 2011, <https://doi.org/10.59348/zx98j-5p478>.

The reason that the coalition government is now panicking over the set to be universal introduction of £9000 fees and desires to financially punish institutions that want to charge this amount is that it runs counter to their idea of a completely elitist education system: they want institutions to go bankrupt and are predicating this on metrics that don't exist and without taking account of a price-placebo effect.

 University Arches

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Quoted in *The Guardian* today, Nick Clegg said:

"I cannot think of anything more absurd than a university saying, to prove that they can offer a good education, they can whack up the price to £9,000. They are not Harrods."

He is, of course, utterly mistaken. As a 2008 MIT-funded study demonstrated, the placebo effect is thoroughly linked to cost:

"In the full-price group, 85 percent of subjects experienced a reduction in pain after taking the placebo. In the low-price group, 61 percent said the pain was less ... The results fit with existing data about how people perceive quality and how they anticipate therapeutic effects"

Although this study is in a specifically therapeutic context, people do perceive quality on price and, within the relatively narrowly defined range of tuition fees, furthered by the unreality of the deferred sum (it's far easier to spend more when the cost comes later: simply consult any take home now, pay later scheme), it is unlikely that a full-whack fee will be enough to put people off; it functions as a placebo. The government does not want to countenance this. What is most alarming, however, is the rhetoric deployed in this Guardian article and which is increasingly prevalent: institutions will be fined if they impose "unreasonable" fees.

A couple of brief thoughts on this:

1. Using the term "unreasonable" to describe fees over £6000 legitimizes fees up to £6000.
2. Deploying the term "unreasonable" within institutionally specific contexts implies that there is some hidden benchmark of an institution's quality by which the reasonableness of these fees could be objectively measured.

Point 1 is self-explanatory.

Point 2 requires a little unpicking. If we are to say that Cambridge can reasonably charge the full whack, but University X can reasonably only charge up to £6000, then there must be some way this "reasonableness" can be measured; it is a phasing-in of requisite free-market competition (which is almost already ingrained owing to the RAE and REF) between universities. It seems, though, that the government has pre-conceived ideas of which institutions will be allowed to charge and which not, but have not produced any metrics to justify this. Is it on teaching? Research? The ghastly "future earnings potential"? Whose league tables will be used? **What about the placebo?**

If qualitative measures such as "student satisfaction" are used as one of these metrics, then it makes sense, given what we know about placebo, to assume that institutions that charge less will be plunged into a vicious cycle: they charge less, student satisfaction is lowered, the metric then dictates they should charge even less, leading to bankruptcy. While this is not the be-all and end-all, the unaccounted-for placebo effect and branding of unreason could skew many metrics and contribute towards a regression in which England will, once more, have two universities.

This use of the term "unreasonable" should not go on in this way. It was Nick Clegg's litotes that seems to have introduced the idea in 2010 when he said that the government's plans for tuition fees were "not unreasonable". If you want to use the term "reasonable", be sure to spell out your reasoning behind it. When spelling out your reasoning, if you are talking about money, figures, student numbers in relation to staff salaries, potential future earnings etc. I want to see hard metrics that back up your "reason", not rhetoric. If your reasoning deploys qualitative measures that's fine, but don't treat them as quantitative measures and take account of subjectivity and placebo. Do not use the term "reasonable" without at least some kind of argument for what constitutes this reason! Tell me **why** it is "reasonable" for one institution to charge one amount, and another a different but "unreasonable" sum. Furthermore: whose reason? It seems to me that charging higher fees to avoid going bankrupt would seem perfectly reasonable to an institution. The government seems to disagree, but I remain unconvinced that they are competent to conduct the research to enable such a judgemental statement, with any truth, on the "(un)reasonable" nature of fees by institutional comparison. Finally, be careful what you legitimize when you brand something unreasonable.